

CRCL pitch deck

I could not reach IBKR for a live quote in this session (permission denied) — the same gap both benches reported. Prices below come from the evidence pack and the benches' own arithmetic, and I flag where the tape has moved since the court sat.

PITCH — CRCL — VERDICT

ADJUDICATED 2026-08-08 — NO position at \$66.67. Watch only, with a two-part gate: a starter is allowed only after the September 16 event cluster resolves AND either USDC supply holds at or above \$72B for three straight weeks, or the price falls to roughly \$52.

What we believe

Circle is, today, a leveraged bet on one number: the interest earned on the reserves backing USDC. In the June quarter, reserve income was \$668M of \$701M in total revenue — 95.3% ([Circle Q2 2026 release](#); 10-Q filed 2026-08-05, EDGAR accession 0001876042-26-000248, CIK 1876042).

Two of the three common bear arguments do not survive contact with the filings:

1. **“Coinbase’s cut will eat the economics.”** It didn’t this quarter. Distribution costs were \$412M, up 1%, against reserve income up 5% — the payout ratio fell from roughly 64.2% to 61.7%.
2. **“Falling rates will gut the business.”** The rates market isn’t pricing falling rates. As of August 4 the futures curve put a 61.9% probability on a 25bp *hike* at the September 16 meeting, with the path near 4% through mid-2027.

The third bear argument survives, and it is the one that matters: **the amount of USDC in circulation is shrinking**. Supply was \$73.3B on June 30 and \$72.0–72.5B in early August — down about \$1.3B in five weeks, in a calm rate environment, before any hike. Our own thesis set the falsifier at “below \$70B, held three weeks.” At the court price we were being asked to buy 3% above our own kill-line.

So: the company is better than the loudest bear case, and still not ownable at the price we were offered. We believe there is a real business here that we want to own at a price that pays us for the supply risk — and \$66.67 (let alone today’s \$74.59) is not that price.

What the market believes

The market is deeply split, and the split is closing fast in the bears’ direction. The stock is 53% below its 52-week high of \$159.47 and 49.5% above its 52-week low of \$49.90. Sell-side targets ranged over 3x — but the \$107.98 average is stale, weighted with pre-print numbers. After the August 5 print, Morgan

Stanley cut to \$37 and Goldman cut \$82 to \$71 (August 6). (Those two specific marks come from one search pass and were not independently re-verified — see the check table.)

Read plainly, the market believes what we believe: this is a rate-and-supply business whose supply is going the wrong way, and nobody knows what it's worth within a factor of two. What the market is *not* obviously pricing is that the rate leg is currently tilted the company's way — a hike mechanically raises reserve income roughly 7% on the entire float (25bp on a ~348bp base).

Why we might have edge

- **We refuted a bear leg the Street is still using.** The distribution-cost argument was checked against the actual release, not a model: costs up 1%, income up 5%. That is a specific, dated, primary-source refutation.
- **We noticed the rate curve contradicts the loudest bear.** Morgan Stanley's \$37 rests on falling rates; the curve prices a hike. Our own red team surfaced the evidence that damages the bear it was arguing for.
- **We have a falsifier we can watch for free, daily.** USDC supply is a public on-chain series. Most equity theses have no such instrument. This one lets us wait at zero cost and enter only on evidence.
- **We caught a data error that would have inverted the whole analysis.** See below — this is the single most valuable thing this court produced.

Why it might be priced in

- **The valuation is not cheap and never was.** \$48M of continuing-operations net income annualizes to roughly \$190M. On ~253.9M shares (all classes) and \$66.67, that's a \$16.9B market value — about 88x recurring earnings. At the pack's current \$74.59 it's ~\$18.9B and closer to 99x. You are paying a growth multiple for a business whose core multiplicand is shrinking.
- **The whole 2026 earnings bridge is unverified.** The roughly \$180M Arc pre-sale recognition and the \$310–330M guidance that make the bull math work are **not in the primary release**. They come from transcript-tier sources. Our strongest bull fact is our least verified fact.
- **Everyone can see the supply series too.** It is public and free. There is no informational edge in reading it — only a discipline edge in acting on it.
- **Insiders are selling into this.** Nine Form 4s and three Form 144s in the two weeks around the print, plus a shelf registration (S-3ASR) filed on print day itself.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Share count / market value	Cross-check of the evidence pack against an outside data source	Our own pack was wrong. It carried 107.5M diluted shares — that is the Class A count only. Actual total across all	Yes — pack error, caught and corrected. Had it stood, we'd have

Claim	How checked	Found	Confirmed?
		classes is ~253.9M, market value ~\$16.9B at \$66.67.	computed a ~\$7.2B company at ~38x earnings and called it cheap. This single error would have inverted the recommendation.
Reserve income concentration	Fetches Circle's Q2 release directly	\$668M of \$701M = 95.3%	Yes
Distribution costs / Coinbase	Same release	\$412M, up 1%, vs reserve income up 5%; ratio 61.7% vs 64.2%	Yes, with a caveat: the 64.2% year-ago base is derived from growth rates, not reported. And because the reserve rate fell 16% year over year, part of the "improvement" is simply Coinbase's cut floating down with the yield. One quarter; Coinbase's actual terms are undisclosed.
Rate path	Futures-implied probabilities from three independent aggregators	61.9% odds of a 25bp hike on 9/16 (as of 08-04); path near 4% through mid-2027	Yes
USDC supply	On-chain supply series, two sources	\$72.0–72.5B vs \$73.3B on 6/30; down ~\$1.3B in 5 weeks	Yes
"The rate leg and the volume leg are separate risks"	Red bench challenge, then blue bench arithmetic	Our red bench overreached. It called this fatal — arguing a hike helps reserves but drains crypto liquidity, so the legs can never both be green. The arithmetic doesn't support "never": a 25bp hike lifts reserve income ~7% on the whole float, so you'd need supply to fall more than 7% per 25bp for the net to go negative, and nothing in the record shows that. Q2 is the direct counterexample — rates held <i>and</i> average circulation hit an all-time high.	Correlation confirmed; "fatal" overturned. Downgraded to a reason to size small.
"88x earnings is fatal"	Blue bench review against our own rules	Our red bench mislabeled this too. The number is right; the label was wrong. A valuation problem sets the price at which we'd buy — it doesn't kill a name.	Data confirmed; severity overturned to a price gate.
Arc pre-sale revenue and 2026 guidance	Fetches the primary release looking for it	Not there. No Arc pre-sale recognition, no \$310–330M guidance, no average-circulation dollar figure in the release.	No — and our red bench under-weighted its own finding. Blue escalated it: this is the load-bearing bull fact and it is

Claim	How checked	Found	Confirmed?
			unverified in primary sources.
Shelf registration (S-3ASR)	Attempted to read the filing at SEC	Both benches got HTTP 403 from SEC. Contents unread.	Existence confirmed from the filing index; substance unverified — shared coverage gap. Blue added the missing context: a \$1.3B follow-on in August 2025 already set the pattern, so a standing shelf at month ~14 is routine, not new information.
Analyst target cuts (MS \$37, GS \$71)	One search pass by red; blue could not independently reproduce	Direction confirmed (targets converging down toward the tape); specific marks unverified	Directionally yes, specific numbers no.
Live price	IBKR market-data tool	Denied in both bench sessions and again in this one. Court priced off an August 7 close of \$66.67, agreed by two sources.	No live quote. The pack rebuilt 2026-08-18 shows \$74.59 — the stock is ~12% higher than where the court declined it, which pushes us <i>further</i> from every entry gate.
Stock compensation scale	Pack XBRL	\$435M against a ~\$192M earnings run-rate	Confirmed as a figure, but it is a 2025-06-30 value and IPO-year vesting inflates it — directionally supports the price gate, not usable as a current-period number.
Cash flow from operations	Pack XBRL	Blank.	No — not retrieved.

PROPOSED ENTRY BANDS

There is no entry today. The court declined at \$66.67 and the tape has since risen to \$74.59, which makes the case worse, not better. These are the reopen conditions, taken verbatim from the adjudication:

- **After September 16 resolves AND USDC supply is at or above \$72B for three consecutive weeks → starter.**
- **Price at or below approximately \$52 → starter on valuation.**
- **Supply alert armed now.**

Detail and arithmetic behind those levels:

- **The \$52 level.** The court described it as roughly 65x trough recurring earnings. Our own arithmetic: $\$52 \times 253.9\text{M shares} = \13.2B , which is 69x the \$190M run-rate — so the court's “~65x” implies a trough earnings number nearer \$203M than \$190M. Treat \$52 as the operative number and the multiple as approximate. From \$74.59 that is **30% below the current tape**.
- **The supply gate.** Supply is \$72.0–72.5B right now — sitting *on* the line, not above it, and trending down. Three consecutive weekly readings at or above \$72B is the requirement; the clock has not started.
- **Both gates are conjunctive with the date.** Nothing before September 16 under any price. The court's language is “commit nothing before the cluster.”
- **Hard stop on the whole thesis:** USDC supply below \$70B held three weeks. If that fires, the reopen gates close — this is not a “buy it lower” situation, it is a broken premise. That number is 2.9% below where supply sits today.
- **Size.** The court authorized a “starter” and did not set a number. My proposal, explicitly *not* from the court: **0.5% of book** on the first gate, and no add until a second, independent gate fires (either supply reclaiming \$75B while rates hold, or Coinbase's distribution terms being disclosed in a filing). Do not average down into a falling supply series.
- **Trims/exits.** Not applicable — no position. If a starter is ever taken, the supply falsifier is the exit, not a price stop.

Catalyst dates: - **2026-09-16 — two events on the same day:** the FOMC decision (61.9% odds of a hike as of 08-04) and Arc mainnet launch. Entry before this date is uncompensated risk in both directions. - **Shortly after 09-16:** the Arc token begins trading, which publicly marks the pre-sale economics we could not verify. - **2026-11-11 — likely Q3 print.** This date is derived from a data vendor and is **not company-confirmed**.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 52.0 (deck-provisional: Court gate: ~65x trough recurring earnings ($\$52 \times 253.9\text{M shares} = \13.2B vs ~\$190-203M run-rate); star)
- filing watch: 8-K, 424B5, S-3 until 2027-02-13 (deck-provisional: Shelf takedown or resale registration — S-3ASR filed 2026-08-05 was unreadable (SEC 403) in both bench)
- dated pack CRCL|2026-09-17: CRCL: HIT = 9/16 cluster resolved AND USDC supply $\geq \$72\text{B}$ x3wk. RESOLVE: `python3 -m desk.calibration resolve CRCL FAVORABLE|UNFAVORABLE|MIXED`
- dated pack CRCL|2026-09-16: CRCL: FOMC decision (61.9% implied odds of 25bp hike as of 08-04) AND Arc mainnet launch, same day — no entry before this resolves (date con
- dated pack CRCL|2026-11-11: CRCL: Likely Q3 2026 print — vendor-derived, not company-confirmed (date confirmed=False)

What remains unverified

1. **The Arc pre-sale (~\$180M) and the \$310–330M guidance.** Absent from the primary release. The bull case's arithmetic backbone is transcript-tier.
2. **Average USDC circulation in dollars for the quarter.** Not in the release we fetched.
3. **Coinbase's actual distribution terms.** Undisclosed. The payout-ratio improvement could be contract discipline or just yield compression flowing through — we can't tell.
4. **The S-3ASR contents.** SEC returned 403 to both benches. We know a shelf exists; we do not know whether it is primary issuance or holder resale.
5. **The specific analyst marks (MS \$37, GS \$71).** Single-source.
6. **Operating cash flow.** Not retrieved; the pack field is empty. All earnings quality statements here rest on the income statement alone.
7. **Current-period stock compensation.** We have a 2025 figure distorted by IPO-year vesting.
8. **A live price.** No broker quote in three attempts across three sessions. The gate distances quoted above are computed against a data-vendor print of \$74.59 dated 2026-08-18, not a verified live quote.
9. **Whether the 64.2% prior-year payout ratio is right at all** — it is derived, not reported.

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